RETIREMENT INCOME PLANNING

Protecting Your Retirement *Income*

Your Goals. Our Guidance. *Together.*



ALTO FINANCIAL GROUP

altofinancialgrp.com

THE 3 CORE PRINCIPLES

Of Your Retirement Money

Purpose

What are the purposes of the retirement money you've saved? *Needs, wants and wishes.*

Time Horizon

When do you need the money to achieve each purpose?

Risk Tolerance

How much risk of loss are you willing to accept?



MARKET HISTORY

Markets Are Usually *Cyclical*

Over 150 years, there have been five secular bull markets and four secular bear markets. From the 1877 trough to March 2026:

459%	Average secular bull market gain
−64%	Average secular bear market loss
10 yrs	Average secular bull market length
5 yrs	Average secular bear market length



Bull years total 92 versus 57 for the bears. The trend line is a “best fit” that divides the monthly values so the total distance above the line equals the total distance below.

Source: Graph created by Vettifi Advisor Perspectives as of April 2026. Bull and bear markets illustrated are long-term secular periods, and do not necessarily indicate all bull or bear market periods, which may differ based on methodology utilized. For this analysis, we considered the end of a bull market when the index drops below its peak and stays there for a significant period of time. Past performance is no guarantee of future results. The S&P Index is generally considered representative of the US stock market. For illustrative purposes only. Indices are unmanaged and not available for direct investment. Stocks are subject to risks and may not be suitable for all investors.

CASE STUDY: SEQUENCE RISK (NO WITHDRAWALS)

Same Average Return, *Same* Ending Value

Scenario A: the loss comes in year 10

Year	Start Value	Return	End Value	% of Start
1	$500,000	8.00%	$540,000	108%
2	$540,000	8.00%	$583,200	117%
3	$583,200	8.00%	$629,856	126%
4	$629,856	8.00%	$680,244	136%
5	$680,244	8.00%	$734,664	147%
6	$734,664	8.00%	$793,437	159%
7	$793,437	8.00%	$856,912	171%
8	$856,912	8.00%	$925,465	185%
9	$925,465	8.00%	$999,502	200%
10	$999,502	-36.55%	$634,184	127%
	Average	3.55%		

Scenario B: the loss comes in year 1

Year	Start Value	Return	End Value	% of Start
1	$500,000	-36.55%	$317,250	63%
2	$317,250	8.00%	$342,630	69%
3	$342,630	8.00%	$370,040	74%
4	$370,040	8.00%	$399,644	80%
5	$399,644	8.00%	$431,615	86%
6	$431,615	8.00%	$466,144	93%
7	$466,144	8.00%	$503,436	101%
8	$503,436	8.00%	$543,711	109%
9	$543,711	8.00%	$587,208	117%
10	$587,208	8.00%	$634,184	127%
	Average	3.55%		

This is a hypothetical example provided for illustrative purposes only; it does not represent a real life scenario and should not be construed as advice designed to meet the particular needs of an individual's situation.

CASE STUDY: SEQUENCE RISK (WITH WITHDRAWALS)

Same Average Return, *Very* Different Outcome

Scenario A: the loss comes in year 10

Year	Withdrawal	Return	End Value	% of Start
1	$36,000	8.00%	$501,120	100%
2	$36,900	8.00%	$501,358	100%
3	$37,823	8.00%	$500,618	100%
4	$38,768	8.00%	$498,798	100%
5	$39,737	8.00%	$495,785	99%
6	$40,731	8.00%	$491,459	98%
7	$41,749	8.00%	$485,687	97%
8	$42,793	8.00%	$478,326	96%
9	$43,863	8.00%	$469,220	94%
10	$44,959	-36.55%	$269,194	54%
	Average	3.55%		

Scenario B: the loss comes in year 1

Year	Withdrawal	Return	End Value	% of Start
1	$36,000	-36.55%	$294,408	59%
2	$36,900	8.00%	$278,109	56%
3	$37,823	8.00%	$259,509	52%
4	$38,768	8.00%	$238,400	48%
5	$39,737	8.00%	$214,556	43%
6	$40,731	8.00%	$187,731	38%
7	$41,749	8.00%	$157,661	32%
8	$42,793	8.00%	$124,058	25%
9	$43,863	8.00%	$86,611	17%
10	$44,959	8.00%	$44,984	9%
	Average	3.55%		

Both scenarios start at $500,000. This is a hypothetical example provided for illustrative purposes only; it does not represent a real life scenario and should not be construed as advice designed to meet the particular needs of an individual's situation.

TWO MAIN APPROACHES

To Retirement Income Planning

Systematic Methods

Accepts market risks and funds retirement income via systematic withdrawals for 30+ years.

Protected Income Planning

Reduces retirement money risk by using protected lifetime income for essential spending and market investments for non-essential goals.

Annuities are long-term contracts designed for retirement purposes. Product guarantees are subject to the claims-paying ability of the issuing insurance company. Earnings, when withdrawn, are subject to federal and/or state income tax, including a 10% tax penalty for withdrawals before age 59½. Some income guarantees offered with annuities take the form of optional riders and carry charges in addition to the fees and charges associated with annuity products. Annuity contracts may not be suitable for all investors. Guaranteed Lifetime Income relies on the purchase of insurance products, which may not be suitable for everyone. You should consider the investment objectives, risks, charges and expenses carefully before investing.

THE PROTECTED INCOME APPROACH

A *Stable* Income Floor

This approach focuses on financial security through guaranteed income, risk management, and strategic asset allocation.

ON TOP: GROWTH

Market investments

For non-essential goals: your wants, wishes and legacy.

THE FLOOR: PROTECTION

Protected lifetime income

For essential spending: the bills you must pay every month.

The floor aims to cover essential expenses while:

1. Reducing the risk of outliving your income
2. Minimizing the need to withdraw from market investments in downturns
3. Allowing for potential growth in investments to combat inflation

WHAT ARE THE

Types of Fixed Annuities?

Annuity contracts aim to maximize **either** growth or income. Each type gives up some of one to get more of the other.

Growth Annuity

FOCUSES ON

Account growth

THE TRADE-OFF

Potentially sacrificing future income benefits

Income Annuity

PRIORITIZES

Steady, lifelong income

THE TRADE-OFF

At the expense of some growth

Annuities are long-term contracts designed for retirement purposes. Product guarantees are subject to the claims-paying ability of the issuing insurance company. Earnings, when withdrawn, are subject to federal and/or state income tax, including a 10% tax penalty for withdrawals before age 59½. Some income guarantees offered with annuities take the form of optional riders and carry charges in addition to the fees and charges associated with annuity products. Annuity contracts may not be suitable for all investors. All guarantees are based on the financial strength and the insurance provider's claims-paying ability. Past performance is no guarantee of future results. Depending on the contract, a surrender charge or other penalties apply for early withdrawal. Annuities are complex products, and it's important to understand the balance between all of their features and factors. A financial professional can help you decide whether an annuity is appropriate for your needs.

THE BASICS OF

Annuity Indexing

Indexed

- Account values grow with an index (e.g., Dow Jones, S&P 500).
- No decrease in value from market losses.
- Growth is capped and based on a percentage of index growth (Participation Rate).

Fixed

- Account values grow at a set interest rate over a specified term (2–10 years).
- Rates are competitive, often higher than CDs or savings.
- Interest can be taken as income or compounded.
- Can be “laddered” for staggered maturity.

Annuities are long-term contracts designed for retirement purposes. Product guarantees are subject to the claims-paying ability of the issuing insurance company. Earnings, when withdrawn, are subject to federal and/or state income tax, including a 10% tax penalty for withdrawals before age 59½. Some income guarantees offered with annuities take the form of optional riders and carry charges in addition to the fees and charges associated with annuity products. Annuity contracts may not be suitable for all investors. All guarantees are based on the financial strength and the insurance provider’s claims-paying ability. Past performance is no guarantee of future results. Depending on the contract, a surrender charge or other penalties apply for early withdrawal. Annuities are complex products, and it’s important to understand the balance between all of their features and factors. A financial professional can help you decide whether an annuity is appropriate for your needs. Indexes cannot be invested in directly. Standard & Poor’s 500® index (S&P 500®) is comprised of 500 stocks representing major U.S. industrial sectors. The Dow Jones Industrial Average is a popular indicator of the stock market based on the average closing prices of 30 active U.S. stocks representative of the overall economy.

HYPOTHETICAL

Income Examples

65-year-old married couple **$400,000 starting balance**

Strategy	Annual Rate	Annual Income	Term
Systematic Withdrawal	4%	$16,000	Until funds deplete
CDs	4.2%	$16,800	5 years
Fixed Annuity	5.4%	$21,600	5 years
Lifetime Income Rider	6.9%	$27,600	Joint lifetime

These are hypothetical examples only and do not represent investment advice. Lifetime income rider rates are based on many variables including age, state, income deferral period and carrier fees. Rates change frequently.

Annuities are long-term contracts designed for retirement purposes. Product guarantees are subject to the claims-paying ability of the issuing insurance company. Earnings, when withdrawn, are subject to federal and/or state income tax, including a 10% tax penalty for withdrawals before age 59½. Some income guarantees offered with annuities take the form of optional riders and carry charges in addition to the fees and charges associated with annuity products. Annuity contracts may not be suitable for all investors. All guarantees are based on the financial strength and the insurance provider's claims-paying ability. Past performance is no guarantee of future results. Depending on the contract, a surrender charge or other penalties apply for early withdrawal. Annuities are complex products, and it's important to understand the balance between all of their features and factors. A financial professional can help you decide whether an annuity is appropriate for your needs. A certificate of deposit (CD) is a low-risk savings tool that can boost the amount you earn in interest while keeping your money invested in a relatively safe way. Like savings accounts, CDs are considered low risk because they are FDIC-insured up to $250,000.

THE REAL VALUE OF

Downside Protection

	Market Investment	Indexed Annuity
Initial Balance	$100,000	$100,000
Market Drops 30%	–$30,000	$0
New Account Balance	$70,000	$100,000
Market Goes Up 30%	+$21,000	+$15,000
New Account Balance	**$91,000**	**$115,000**

Indexed annuity gain shown with a 50% participation rate.

For illustrative purposes only, results may vary.

THE REAL VALUE OF

Downside Protection

What does it take to get your money back?

	Market Investment	Indexed Annuity
Initial Balance	$100,000	$100,000
Market Drops 30%	−$30,000	$0
New Account Balance	$70,000	$100,000
Market Goes Up 43%	+$30,100	+$21,500
New Account Balance	**$100,100**	**$121,500**

Indexed annuity gain shown with a 50% participation rate.

For illustrative purposes only, results may vary.

THE BASICS OF

Annuity Indexing

1. You purchase an annuity.
2. Your money is held in the insurance company's general fund, not invested in the market.
3. The insurance company purchases a bond with its own funds to earn interest.
4. Interest from the bond is used to purchase Call Options based on future market performance.
5. If the market is **higher** at Call Option expiration, the insurance company profits and shares those gains, enhancing your account's value.
6. If the market is **lower** at the Call Option's expiration, the insurance company loses the investment in the Call Option, but your account remains unaffected.

Annuities are long-term contracts designed for retirement purposes. Product guarantees are subject to the claims-paying ability of the issuing insurance company. Earnings, when withdrawn, are subject to federal and/or state income tax, including a 10% tax penalty for withdrawals before age 59½. Some income guarantees offered with annuities take the form of optional riders and carry charges in addition to the fees and charges associated with annuity products. Annuity contracts may not be suitable for all investors. All guarantees are based on the financial strength and the insurance provider's claims-paying ability. Past performance is no guarantee of future results. Depending on the contract, a surrender charge or other penalties apply for early withdrawal. Annuities are complex products, and it's important to understand the balance between all of their features and factors. A financial professional can help you decide whether an annuity is appropriate for your needs.

THE BASICS OF

Index Annuity Crediting

Banks

- Checking, savings & CDs
- Accounts insured up to $250k
- **Required to maintain reserves of 3–10%**

Brokerages

- Stocks, bonds, mutual funds, ETFs
- Accounts insured up to $500,000 (up to $250,000 for cash)
- No required reserves
- **Can experience significant losses**

Insurance Companies

- Annuities & life insurance
- **Required to maintain reserves of 103–110%**

Building Your Retirement *Fortress*

Effective retirement planning should help **defend** against the key risks:

- ✓ Market fluctuations
- ✓ Portfolio drawdown & sequence risk
- ✓ Longevity
- ✓ Inflation
- ✓ Taxes
- ✓ Health care costs



ALTO
FINANCIAL GROUP

FROM THE GROUND UP

Constructing the Fortress



ALTO
FINANCIAL GROUP

Constructing the Fortress



The "Foundation"

- Stability and income that fund your lifestyle
- Not reliant on the stock market performance
- Social security & pension optimization
- "Liquidity Buffer" for unexpected expenses
- CD's, Savings, Fixed Annuities, Treasuries

Annuities are long-term contracts designed for retirement purposes. Product guarantees are subject to the claims-paying ability of the issuing insurance company. Earnings, when withdrawn, are subject to federal and/or state income tax, including a 10% tax penalty for withdrawals before age 59½. Some income guarantees offered with annuities take the form of optional riders and carry charges in addition to the fees and charges associated with annuity products. Annuity contracts may not be suitable for all investors.

ALTO
FINANCIAL GROUP

Constructing the Fortress



The "Walls"

- Balanced investments that can provide income to cover your Wants, a hedge against inflation, and near term liquidity
- Corporate bonds, municipal bonds, hard assets, real estate, private REIT's, Buffered Exchange Traded Funds

The "Foundation"

- Stability and income that fund your lifestyle
- Not reliant on the stock market performance
- Social security & pension optimization
- "Liquidity Buffer" for unexpected expenses
- CD's, Savings, Fixed Annuities, Treasuries

Annuities are long-term contracts designed for retirement purposes. Product guarantees are subject to the claims-paying ability of the issuing insurance company. Earnings, when withdrawn, are subject to federal and/or state income tax, including a 10% tax penalty for withdrawals before age 59½. Some income guarantees offered with annuities take the form of optional riders and carry charges in addition to the fees and charges associated with annuity products. Annuity contracts may not be suitable for all investors.

ALTO FINANCIAL GROUP

Constructing the Fortress



The "Roof"

- Represents the highest risk growth assets your risk tolerance and portfolio can sustain.
- Growth for your "wishes" and legacy planning.
- Stocks, Mutual Funds, Exchange Traded Funds, Options, Commodities, Private Equity

The "Walls"

- Balanced investments that can provide income to cover your Wants, a hedge against inflation, and near term liquidity
- Corporate bonds, municipal bonds, hard assets, real estate, private REIT's, Buffered Exchange Traded Funds

The "Foundation"

- Stability and income that fund your lifestyle
- Not reliant on the stock market performance
- Social security & pension optimization
- "Liquidity Buffer" for unexpected expenses
- CD's, Savings, Fixed Annuities, Treasuries

Annuities are long-term contracts designed for retirement purposes. Product guarantees are subject to the claims-paying ability of the issuing insurance company. Earnings, when withdrawn, are subject to federal and/or state income tax, including a 10% tax penalty for withdrawals before age 59½. Some income guarantees offered with annuities take the form of optional riders and carry charges in addition to the fees and charges associated with annuity products. Annuity contracts may not be suitable for all investors.

ALTO FINANCIAL GROUP

Constructing the Fortress



The "Roof"

- Represents the highest risk growth assets your risk tolerance and portfolio can sustain.
- Growth for your "wishes" and legacy planning.
- Stocks, Mutual Funds, Exchange Traded Funds, Options, Commodities, Private Equity

The "Walls"

- Balanced investments that can provide income to cover your Wants, a hedge against inflation, and near term liquidity
- Corporate bonds, municipal bonds, hard assets, real estate, private REIT's, Buffered Exchange Traded Funds

The "Foundation"

- Stability and income that fund your lifestyle
- Not reliant on the stock market performance
- Social security & pension optimization
- "Liquidity Buffer" for unexpected expenses
- CD's, Savings, Fixed Annuities, Treasuries

The "Moat"

- Protects your plan and estate from long-term care
- Reduce tax risk through strategic tax planning

Annuities are long-term contracts designed for retirement purposes. Product guarantees are subject to the claims-paying ability of the issuing insurance company. Earnings, when withdrawn, are subject to federal and/or state income tax, including a 10% tax penalty for withdrawals before age 59½. Some income guarantees offered with annuities take the form of optional riders and carry charges in addition to the fees and charges associated with annuity products. Annuity contracts may not be suitable for all investors.

LONG-TERM CARE IN AMERICA

Will You Need Care, and What Will It *Cost?*

THE NEED

70%

of people turning 65 will need some type of long-term care in their lifetime.

20%

will need care for **more than five years.**

AVERAGE LENGTH OF CARE

3.7 years, women

2.2 years, men

65% receive care at home, averaging 2 years.

37% receive care in a facility, averaging 1 year.

2025 ANNUAL MEDIAN COST

Nursing home, private	$129,575
Nursing home, shared	$114,975
In-home caregiver	$80,080
Assisted living	$74,400
Adult day care	$24,700

LIFETIME COST OF CARE

Average from age 65, all payers

Women **$154,300** Men **$85,400** Couple **$239,700**

Sources: HHS ACL; CareScout 2025 Cost of Care Survey; HHS ASPE 2022 (lifetime costs in 2020 dollars).